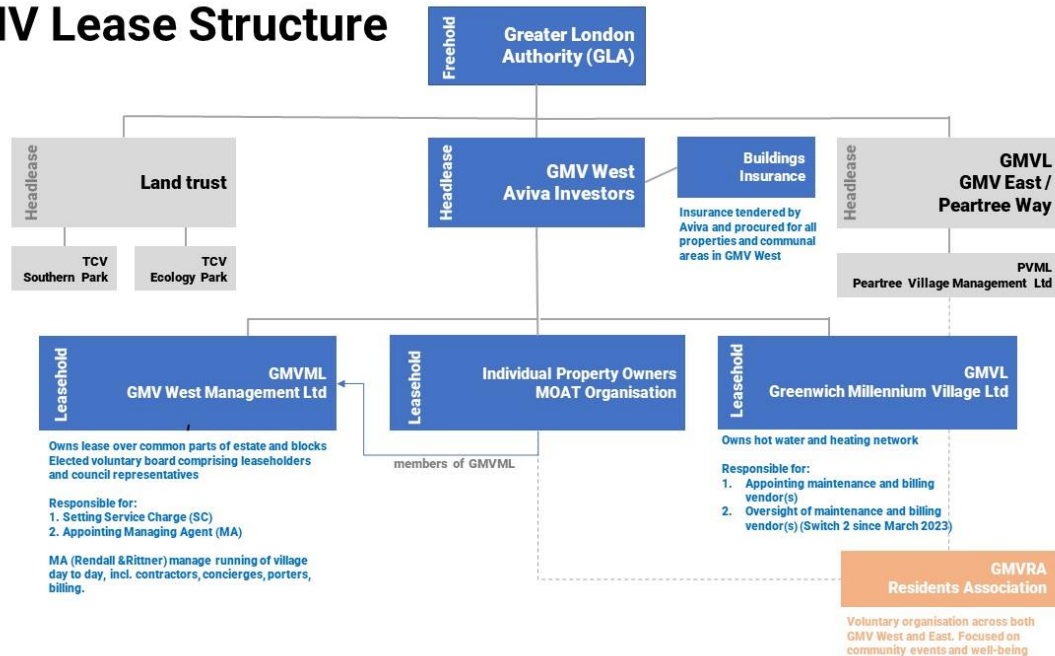


GMV Structure (including GMVML)

Please see the diagram below which calls out the lease structure for GMV and associated properties. The focus for us is GMV West but we will provide some details on other areas.

GMV Lease Structure



GMV Management Limited (GMVML) Board Structure for GMV West



GMV West represents the area highlighted in red above. It was constructed as phase 1 and phase 2 of GMV which constitutes: Alamaro, Becquerel (Hi, Low and New), Cottrell, Da Vinci, Edison, Kilby, Faraday, Farnsworth, Holly, Maurer, Metcalfe, Moseley Row, and Newton.

Board Structure – Responsibility for the management of GMV West rests with the Company known as GMV Management Ltd (GMVML) - the management company. The business of the Company is carried out by a Board of Directors. The composition of the Board is defined by Article 12(k) of the Articles of Association of GMVML (as amended on 2 November 2017), which can be found on R & R online in the section entitled “Useful Documents”. The board structure was updated at the November 2017 general meeting as follows:

Previous Board Composition (pre – 2017)	Changes Approved (Current)
A rental tenant recommended by Moat (historically unfilled)	To allow this position to be filled by either a Moat rental tenant or shared ownership owner
Six leaseholders, shared ownership tenants owning at least 25% of a Unit in GMV, or holders of commercial units	Increase from six to eight positions. In effect replacing the executive and non-executive Directors
One independent non-executive Director (historically unfilled)	Remove this position
One Executive Director (historically unfilled)	Remove this position
A Director appointed by Moat	No change
A Director appointed by the Royal Borough of Greenwich (RBG).	No Change

The current Directors (on 28 May 2023) are:

- Cornelia Boldyreff - Leaseholder
- Sylvia Dean - Leaseholder
- Glyn Ellis - Leaseholder
- Cllr David Gardner - Director appointed by Royal Borough of Greenwich
- Brian Mace - Leaseholder
- Nick Malone - Leaseholder
- Shakti Shekhawat - Leaseholder

There are currently the following vacancies:

- Director appointed by Moat Homes – The previous director has left MOAT and the new one is now attending as an observer pending company secretary formalities
- Two Leaseholder Directors – One leasehold director resigned recently given a change in work commitments, he continues to engage with the board to support some topics he was close to. The other director position has been open since August 2018.

- One rental or shared owner recommended by Moat Homes – This position has never been filled unfortunately despite comms and advertising by R&R, MOAT and the board. It was broadened in 2017 to include shared ownership properties but remains unfilled.

Full details of previous directors can be found on companies house [here](#).

Leaseholder Directors are volunteers and aren't paid in any way. We all pay the same service charge payments as other leaseholders in the blocks where we live. Any changes to the number of directors would need to be made as a Special Resolution of a General Meeting of the company to amend the Articles of Association of GMVML. That would require a majority of 75% of those present at the meeting. Director appointments are for a four-year term and time commitments can vary depending on the time of the year (budget setting, etc.) and topics under review. Since the cladding crisis started in 2020 this has regularly required a few hours per week with periods where it is 10 – 15 hours a week when key reports are due or other significant topics are under review.

The current Leasehold Directors have been appointed in accordance with Articles 12(g) and 12(h) of the Articles of Association, which allows a member of the Company to be appointed as a director when recommended by the existing Directors.

Since the management company was transferred to the control of Leaseholders from the Developer (GMVL) in 2013, there have not been sufficient members willing to become Directors. This was a key risk to GMVML for a number of years. There were regular calls for additional volunteers as part of the GMV Resident Association meetings as well as in the Leaseholder Surveys that were conducted between 2016 and 2019.

To support individuals considering whether they would want to commit to being Directors, the Board created an unofficial role of 'Observer' which allowed individuals to be involved in the Board meetings, to get an understanding of how the Village is run, and the many topics that are ongoing at any time and also to assess if individuals could commit their time to become a Director after a period of being an Observer. This has been a very useful process as all the existing Leaseholder Directors came through this route before committing to become Directors. More recently, one Observer has proactively been engaging with Board matters, including a lot of background reading and information gathering, whilst two others have realised that they could not commit the time or effort required to support the village.

All Directors are responsible for the entirety of the Village across all blocks, car parks and communal areas. Directors have to make decisions for all issues for which the Management Company is responsible and not just for the benefit of the block where they happen to be a leaseholder.

There is a wide range in the scale of our blocks from Moseley at 14 units and Da Vinci at 20 units to Holly with 166 units and Maurer with 200 units. It would not be appropriate to have a director for each and every block. There are too many blocks for Director positions available, and a director cannot act as a representative of just a sectional interest. Directors are required by law to act in the way they consider, in good faith, would be most likely to

promote the success of the company for the benefit of its members as a whole. It is the responsibility of all the Directors to be responsible for the interests of each and every block.

The suggestion of having block representation to feed into the Board's decision making is worth further consideration. There may be multiple ways of bringing this to fruition, but one option could be a working group (or groups), consisting of representatives from across blocks that collates thoughts and makes practical suggestions for consideration by the Board. Within GMV West, there was previously a 'Service Charge Working Group' that had a similar function when there were questions about the level of charges.

Now that there appears to be a high level of engagement from Leaseholders, this might work to enable the collective energy from the village to be utilised. Depending on the number of Leaseholders wishing to proactively contribute to the running of the village. Topics that might be examined by a working group might include spending time on different activities and the effectiveness of operations, for example cleaning, gardening, concierge. Ultimately, the Board would remain responsible for making decisions, but those decisions could be informed by the work and views of engaged leaseholders.

The Board has announced that an election is being arranged for 6 July 2023, for Leaseholders to propose and vote for the Board of Directors that will be responsible for taking the village forward for the next four years.

As part of preparation for the forthcoming General meeting, the Board has identified that there are no provisions in the Articles of Association to allow for remote attendance and voting at a general meeting. The current articles were originally formulated and filed at Companies House in May 2000 when the village was first established, and the concept of Zoom/Teams meetings didn't exist. A resolution will be proposed to the coming Meeting to amend the current articles (last amended in November 2017) to allow remote attendance and voting in future meetings, if the resolution is passed.

Explanation of the Different Parties

R&R (Rendall & Rittner) – The current managing agent appointed by GMVML on a one-year rolling contract: They are appointed by the Board. It is the Board that would also be responsible for identifying and selecting any replacement. Greta (greta.mirzabekjan@rendallandrittner.co.uk) is the main contact as she is our Senior Property Manager for R&R for GMV West. R&R are responsible for the day-to-day running of the village on the Board's behalf. R&R manage the billing of the service charge, contractors, oversee the concierge, porters, etc.

GMVL - A Joint Venture between Countryside (now part of Vistry) and Taylor Wimpey. They were responsible for designing and constructions all of the buildings across GMV West, whether directly or via their contractors. GMVL have signed a contract with the government to fund the remediation of the life critical elements of the cladding across the high-rise buildings. GMVL continue to own the heating and hot water energy infrastructure across GMV under a sub-lease. They have appointed Switch 2 as the current maintenance and billing provider for this under a long term EScO agreement. GMVL are also completing Phase 3 onwards of GMV which is under a separate management company – Peartree Way Management Limited (PWML). The structure is similar to GMV West but for now the developer retains control of the management company with no leaseholder directors or council representation on the board.

Switch 2 - Heating and hot water supplier: Responsible for maintaining the heating and hot water facilities across the village. They were given a 25 – 30 year contract by GMVL (developer), GMVML were not involved in this process and have no visibility of the contract. Switch 2 are now responsible for the billing. Switch 2 superseded both EON (energy supply) and SHW (billing).

Aviva Investors – Aviva own the head lease for all blocks but there are special arrangements for Moseley Row. As the owner of the head leases Aviva is entitled to collect ground rent (except for Moseley Row). There is a range of scenarios for Ground Rent here: for some buildings, the amount is fixed, while for others it will increase as a percentage of the property value every 20 odd years or in line with general inflation – check your lease to confirm. Aviva is responsible for appointing the buildings' insurer, for which they have appointed Aviva Insurance after a tender process. Leaseholders have no say in the awarding of this insurance contract, nor in the broker chosen to run the tender but may challenge it at a first-tier tribunal. The insurance premium increases are largely based on the 'restatement value' which is the amount it would cost to demolish and rebuild the buildings if they were destroyed under an insured risk. Other risks such as cladding risks and claims also factor into increases. We have between 100-150 claims across GMV West per year (mostly related to water damage). The insurance is placed across Aviva's portfolio of developments where they hold an interest so this may or may not benefit us from a pricing perspective. The FCA are proposing reforms in this area - <https://www.fca.org.uk/news/press-releases/fca-sets-out-multi-occupancy-leasehold-insurance-reforms>.

Mainstay - An agent appointed and operating on behalf of Aviva. Their role is to collect ground rent for Aviva and to provide administrative services, such as approving a change of

name on a lease when a leaseholder buys or sells their apartments, facilitating a licence to alter, etc.

GMVRA - Residents' Association: They represent residents on both sides of the village: GMV West and GMV East, and they run a Facebook group – Greenwich Millennium Village Residents' Association (GMVRA). This is open to all residents. They are not directly responsible for any of the day-to-day running of the village. They have regular resident updates, usually hosted at the Yacht Club, and engage many of the stakeholders listed here as well as several others. The annual Summer Fayre in the park around GMV is organised by GMVRA. GMVRA is also a volunteer-based organisation set up to improve village life.

Land Trust – The land trust is a national charity setup with the aim of ensuring that the green space that they manage bring long term benefits to the community and the environment, as well as providing great spaces to visit and enjoy (<https://thelandtrust.org.uk/>). Within GMV they have a lease and responsibility for two spaces:

- The Ecology Park – This is an ecology habitat which is managed by the TCV (The Conservation Volunteers) on a day-to-day basis. It is funded from the income and draw down on an endowment provided to the Land Trust. There is a charity called Friends of Greenwich Peninsula Ecology Park (GPEP) that organises volunteers and fundraising. For any substantial funding the TCV need to approach the Land Trust and get the drawdown approved by their board. This is currently needed to repair the boardwalk, fix the bore hole which feeds the lakes with water and deal with the azolla fern infestation. GMVML have no ownership or rights over the Ecology Park. A number of leaseholders are keen volunteers working in the park, but leaseholders are not required to contribute to funding for the park.
- Southern Park – Southern Park was a planning obligation when the GMV master plan was approved by The Royal Borough of Greenwich. Once again, the lease resides with the land trust and the site is managed by TCV. Whilst leaseholders have no legal control or ownership over the site there is a lease obligation for all GMV phases to fund the park. At present this is capped at £150,000 across GMV East and West, so GMV West fund around 1/3 of the annual budget up to about £50,000, with the remainder from GMV East. The TCV also apply for council grants and to the developer for specific initiatives like the new fencing and playgrounds. Although leaseholders don't have any approval rights over the budgets the TCV will typically give GMVML visibility and engage on priorities. They are also considering building a small reserve fund for longer term works on lighting, CCTV, replanting, etc.